SRF Ltd — Concall Tracker

Is there a durable earning trigger, and has management been consistent about it? | Report quarter: **Q2 FY27** (filed Q2-2027) | Screener ticker: SRF

Continues the Q1-2027 report. This quarter deep-reads two new transcripts: the Q1 FY27 call (23 Jul 2026), which the last report could only cover from the results deck, and the Q2 FY27 call (22 Oct 2026). Older history is carried forward. Not investment advice.

1. Snapshot

What SRF does: a chemicals-led manufacturer with four businesses. **Chemicals** (refrigerant gases, PTFE and other fluoropolymers, plus specialty chemicals made for agrochemical and pharma companies), **Performance Films & Foil** (BOPET/BOPP packaging film, capacitor film and aluminium foil), **Technical Textiles** (tyre-cord and belting fabric) and small **Others** (coated and laminated fabrics). Refrigerant gases are the profit engine.

Metric	Value	Plain read
Market cap	**₹72,932 cr**	What the market values the whole company at, down from ~₹79,000 cr last quarter.
Q2 FY27 revenue (consolidated)	**₹4,904 cr**	Sales for Jul–Sep, up 35% on a year ago. A big jump, mostly films and refrigerants.
Q2 FY27 operating EBIT	**₹816 cr**	Operating profit before interest and tax, up 26%. Grew slower than sales, so margins slipped.
Q2 FY27 net profit	**₹509 cr**	Up 31% on a year ago but well below Q1's ₹759 cr, which had the war windfall in it.
H1 FY27 net profit	**₹1,268 cr**	First-half profit, up 55%. Already about two-thirds of the whole of FY26 (₹1,835 cr).
P/E	**35.6**	Price is ~36x yearly profit. Still expensive, a bit cheaper than last quarter's 40x.
ROCE / ROE	**15.9% / 14.8%**	Decent returns, held down by the heavy building programme.
Borrowings (Sep 2026, standalone)	**₹3,739 cr**	Against ~₹13,700 cr of shareholder funds. Low debt for a company spending this much.

2. Concall coverage

Period	Call date	Status
Q2 FY24 → Q4 FY26	2023–2026	Carried forward from the Q1-2027 report (Q3 and Q4 FY26 read in full there; older srf.com transcript links are dead)
Q1 FY27 (prior boundary)	23 Jul 2026	Last report used only results + deck. **Full transcript now read ★**
Q2 & H1 FY27	22 Oct 2026	**Newly deep-read in full ★**

Only the two new transcripts were read in full this quarter. The backstory comes from the prior report.

2b. Latest concall highlights — Q2 FY27 (22 Oct 2026)

- **Sales up, margins down.** Revenue ₹4,904 cr (+35%), EBIT ₹816 cr (+26%), profit ₹509 cr (+31%). Versus Q1, EBIT fell from ₹1,116 cr. The films and textiles windfall from the Middle East war is gone, and dearer raw materials and freight hit chemicals.
- **Guidance nudged up.** Chemicals revenue growth guided at 15–20% for FY27. Management now expects the **higher end**, with specialty volumes stepping up in the second half.
- **New ₹600 cr battery-foil plant** at Jetapur (Madhya Pradesh): 12,000 tonnes/year of aluminium foil for lithium-ion and sodium-ion batteries plus high-end packaging. Phase 1 (₹300 cr) in about 23 months. Battery customers take roughly two years to qualify, so the mill will make aseptic packaging foil meanwhile.
- **Odisha HFO plant got its key regulatory approvals** and is on track for Q4 FY28. Capacitor film is selling "well ahead of" plan and a second line is likely. Two pharma customers, one in cancer drugs, should start buying soon.
- **Tone:** confident on refrigerants ("prices stayed firm"), careful on specialty margins ("I don't want to declare victory over here just yet").

2c. Business mix & capacity

- **Domestic vs export:** not broken out by management. What was said: refrigerant gases pushed into new markets including the Middle East while the US softened, and close to half of aluminium foil volume now goes to Europe.
- **Capacity use:** refrigerant (HFC) plants run "absolutely flat out" through 31 Dec 2026, the end of the quota baseline period. Dahej HFC expansion is "progressing well". Films assets stayed well used even as customers bought less after Q1's panic buying.

2d. Since our last report ★

Builds on the **Q1-2027 report** (boundary: Q1 FY27 results, 22 Jul 2026). Prior verdicts: **Trigger YES, Consistency YES**.

Prior read	What we said then	What the new calls show	Movement
Trigger: YES	Refrigerant quota play is the live engine; HFO and Chemours are the next leg	Refrigerant prices and volumes firm; HFO cleared approvals; Chemours slipped a few months	Confirmed
Consistency: YES	Candid, steady story	Said in July that films would normalise in Q2, and it did. Flagged the Chemours delay upfront	Confirmed
Chemours fluoropolymer ramp	Ramp expected from Q4 FY27	July: design changes asked by Chemours push FP3/FP4 out "3, 4 months". October: first plant Q4 FY27, second Q1 FY28, full revenue from FY29	Slipping (slightly)
Odisha HFO plant	"On plan", Feb 2028	Key regulatory approvals secured; Q4 FY28 commissioning reiterated	On-track
Films/textiles windfall	Q1 spike would normalise	Textiles fully normal; films "for the most part" normal; management calls Q2 representative	Confirmed
Specialty recovery	Early signs, Chinese pricing pressure	Customers progressed registrations on two active ingredients (Brazil and others); H2 volume ramp promised; margins still squeezed	Improving

Checkpoint results: the prior report had no checkpoint box, so its promises to watch are scored: Chemours ramp from Q4 FY27 — **Partly** (first plant still Q4, rest slipped a quarter) | HFO on plan — **Delivered** (approvals in) | Films normalise — **Delivered**.

Verdict change: both verdicts **unchanged**. The Chemours slip is small and was explained before anyone asked.

3. Earning-trigger thesis ★

The engine is still **refrigerant gases**. Global quota rules fix each maker's future HFC allowance on what it produces up to 31 Dec 2026, so SRF is running flat out and selling into new markets at firm prices. After that, three things are meant to carry growth: the **Odisha HFO plant** (next-generation refrigerants on SRF's own technology, Q4 FY28, aimed at Western buyers), the **Chemours fluoropolymer plants** plus PVDF and better PTFE grades, and a films business moving into **capacitor film and battery foil**. Specialty chemicals is finally showing volume recovery but not yet margin recovery.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
HFC quota & pricing	Run flat out to Dec; prices "broadly stable"; chemicals growth at top of 15–20%	Chemicals revenue +25% in Q2; better pricing in new markets	Now	**Strong** — in the numbers	Unchanged
Odisha HFO plant	Top 3–4 refrigerant maker globally once running; 10–12 months to ramp	Regulatory approvals secured	Q4 FY28 start; real volume FY29	**Moderate** — years out	↑ approvals in
Chemours / fluoropolymers	First plant Q4 FY27, second Q1 FY28; full revenue from FY29	FEP, FKM "on track"; PVDF near capitalisation; PTFE micropowder sales began	FY28–29	**Moderate**	↓ few months later
Capacitor film & battery foil	Capacitor selling ahead of plan; ₹600 cr battery-foil plant; capacitor foil sales from Q3 FY27	Capacitor film commercial; aseptic foil audits done by a global leader	Now (capacitor); ~FY29+ (battery)	**Moderate**	↑ new plant
Specialty chemicals	Stronger H2 on volume; two pharma wins coming	Registrations on two active ingredients; margins hit by raw materials	H2 FY27–FY28	**Unproven**	↑ slightly

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	—
New business	Yes	"Board has approved an investment of approximately INR 600 crore to set up a new aluminium foil facility ... to cater to battery applications" (22 Oct 2026)
Margin up	No	Margins fell in Q2 on raw material and freight costs

New management	No	—
New capacity	Yes	Capacitor film "commercial sales progressing well ahead of initially anticipated timelines"; hybrid BOPP/BOPE line to start Q3 FY27; first Chemours plant Q4 FY27 (22 Oct 2026)
Big orders	No	—
Turnaround	No	—
Promoter buying	No	Promoter holding flat at 50.26%

Single concrete driver: refrigerant plants running flat out at firm prices until the quota baseline closes on 31 December, with the Odisha HFO plant and Chemours plants as the next leg.

3c. Margin bridge

Consolidated EBIT margin was about 17% in Q2, against about 22% in Q1 and about 18% a year ago. Q1's war-driven film and textile gains are gone, and costlier petrochemical inputs and freight (15–20% higher on some routes) hit chemicals. Specialty couldn't pass costs on. Management calls Q2 "reasonably representative" for refrigerants and "very representative" for films, so this is the base, not a dip. **(lasting)**

4. Management consistency scorecard

Period	What was promised	What happened	Verdict
Carried forward	FY26 chemicals +20%; strong Q4 FY26; forex losses would show	Chemicals +16% (specialty miss flagged); Q4 delivered; forex loss showed on cue	Mostly delivered
Q1 FY27 call	Films/textiles to normalise in Q2 but on a higher base	Normalised in Q2; films still grew 51%	Delivered
Q1 FY27 call	Capacitor film early revenue late in Q2	Selling ahead of plan; second line now likely	Delivered
Q1 FY27 call	PVDF commissioned by end of Q2	"Remains on track for capitalization", not yet declared done	Too-early / slight slip
Q1 FY27 call	No aluminium foil expansion "on the cards"	₹600 cr battery-foil plant approved three months later	Changed (explained by aseptic progress)
Prior years	Chemours plants by Dec 2026	First plant Q4 FY27, second Q1 FY28	Partly
FY27	Chemicals revenue +15–20%	H1 ~+25%; guided to top end	On track

Narrative drift: the core story hasn't moved: refrigerant quota play now, HFO and fluoropolymers next, specialty de-risked by pharma. The one surprise is the foil plant. In July they said no foil expansion was planned, then in October they approved one. Their reason is that winning aseptic audits proved they can make high-end grades. That's a fair reason, but it's a quick turn. They keep warning about the weak spots before the numbers show them, like the windfall fading and the Chemours delay. That's why we believe their guidance.

5. Bottom line — two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing knocked it. Refrigerant pricing and volumes held through Q2 while the war bonus elsewhere faded, and the HFO plant cleared its approvals. The catch is timing. Once the quota baseline closes on 31 December,

growth rests on plants that only pay from FY28–29, and the Chemours ramp has already slipped a quarter. Specialty margins are still being squeezed.

Management consistent? → YES vs last quarter: unchanged

The new calls back up the July read. They said films would normalise and it did, capacitor film came early, and the chemicals guidance got raised to the top end. Minor points against: the Chemours slip, PVDF not yet declared done, and the foil about-turn. Each was explained openly on the call.

6. Checkpoints for next quarter ★

- Specialty chemicals revenue steps up in Q3 versus Q2, as promised for H2
- Capacitor-grade aluminium foil sales begin and the hybrid BOPP/BOPE line starts (both guided for Q3 FY27)
- First Chemours plant still on schedule for Q4 FY27, PVDF capitalised

Sources: SRF Q1 FY27 (23 Jul 2026) and Q2 & H1 FY27 (22 Oct 2026) earnings-call transcripts; SRF Q1-2027 concall-tracker report (backstory); Screener.in snapshot for SRF. AI-generated reading of public earnings-call material for tracking purposes. NOT investment advice — do your own due diligence.